

interest in terms of external considerations and the relative position of the U.S. *vis à vis* other states. Realists have criticized U.S. politics in the 1990s for being dominated by special interests; as a result, the national interest has been compromised with respect to other states. However, liberals argue that the national interest is defined by the equilibrium between all the competing interests within the U.S. For example, according to the environmentalists, clean air is in the national interest. But the automobile industry argues that cars with combustion engines are in the national interest—their production employs people, promotes commerce, and makes it easier for everyone to travel. In liberal theory, these interests compete within the confines of the political process and are reconciled through compromise. The equilibrium of interests is the national interest.

The third assumption of liberalism is that the nature of international relations is a composite one—a combination of conflict and cooperation. This assumption stems from the liberal view of human nature as self-interested yet cooperative. Smith and Ricardo thought that self-interested economic behavior in a market led to social harmony. Most contemporary liberals are not this idealistic. However, modern liberals claim that self-interested market behavior creates wealth and leads to increased international transactions. These international transactions afford a situation known as complex interdependence whereby states and other actors within societies are interconnected through trade and finance. Complex interdependence provides incentives to state and nonstate actors to cooperate with each other because they rely on each other mutually. Liberals acknowledge that mutual reliance is by no means symmetrical. Nevertheless, they see complex interdependence as fostering cooperation and reducing the likelihood of violent conflict. Complex interdependence is a defining characteristic of the international system—a characteristic that conditions the behavior of state and nonstate actors.

Many liberals argue that the proliferation of shared norms and values, brought about by the proliferation of representative, democratic governments, has also created a kind of moral interdependence. Societies organized around such democratic principles as individual rights, equality under the law, majority rule, and minority rights are predisposed to the peaceful settlement of disputes, collaboration, and compromise. Simply put, democratic societies identify with each other because of shared norms and values. Even when conflict persists, the conflict is not prone to violence because the decision to go to war does not rest solely in the hands of a single individual or small group. Decision-makers in democratic societies are accountable to their citizens. Hence, democracies rarely make war on each other (Oneal and Russett 1997; Russett 1993; Nincic 1992). Coupled with the economic and political costs of unilateral action, this type of moral interdependence promotes international coordination and cooperation under existing international laws and organizations.

The fourth assumption of liberalism is that a variety of issues can come to dominate the international agenda. Unlike realists, who see security and military issues at the top of the agenda, liberals point to the fact that economic, social, and environmental issues are also important to governments and societies. Hence, Iraqi troop movements might be important one week, starving people in Somalia another week, and a financial crisis in Mexico or Thailand in yet another. Issue areas will involve multiple actors, from states to international organizations and

nongovernmental organizations, and each will pursue its own strategies and goals (Keohane and Nye 1977, 37). For liberals, there is no hierarchy of international issues; consequently, international goals and interests are increasingly difficult to define.

Peace, International Organizations

LIBERALISM AND THE NATURE OF INTERNATIONAL ORGANIZATIONS

The liberal theoretical approach emphasizes several different kinds of international organizations—the IGO, the NGO, the MNC, and the regime. Hence, several different explanations regarding the origins and the essence of these organizations exist. Functionalism and institutionalism are two prominent liberal explanations regarding IGO and regime creation. Functionalism was once the dominant approach to liberal international organization theory, but its popularity among scholars has waned considerably in the last couple of decades because its predictions have not been borne out. According to Bennett (1991, 15), "The functionalist believes in the efficacy of a gradualist approach to world order with the attainment of political federation by installments." IGOs are created because of a basic need for them. The increase in transnational ties has led to integration and interdependence, which in turn has led many societies to share common problems. Many of these problems can be managed only through international cooperation, necessitating the creation of specialized international agencies with technical experts (Mitrany 1948, 1966; Haas 1964). IGOs are formed because, in effect, they "demand jurisdiction over preexisting national states" (Haas 1958, 16).

Functionalists recognize that state sovereignty is a well-entrenched principle in international relations. However, they argue that cooperation in narrow, nonpolitical (economic and social) issues areas leads to a "spillover" into larger, more politicized issues areas such as defense or monetary policy. Cooperation in economic and social spheres leads to confidence building, which promotes cooperation in more highly charged issues. IGOs socialize elites into recognizing that it is in their states' interest to join and participate in international organizations. As cooperative behavior becomes institutionalized, IGOs can evolve into supranational organizations such as the European Union (EU) or the World Trade Organization (WTO). The authority of the nation-state would be displaced incrementally by supranational institutions.

Institutionalism, which represents the most recent research in the liberal tradition on the study of international organization (IGO and regimes), is a hybrid of realism, game theory, and functionalism. Robert Keohane's seminal work, *After Hegemony* (1984), examines how IGOs can assist egoistic state actors in overcoming collective action problems and encouraging cooperation under conditions of anarchy. Like realists, liberal institutionalists argue that a hegemonic power is necessary for the creation of IGOs and regimes. Like realists, institutionalists see the state as a unitary, rational actor interacting in a dangerous and uncertain world. Liberal institutionalists have been charged with being "realist by any other name" because of their adoption of realist precepts and assumptions (Mearsheimer 1995).

Unlike realists, however, institutionalists are more optimistic about the importance of international organization when a hegemon is in decline. Recall that realists who adhere to hegemonic stability theory argue that when a hegemon's power begins to wane, disorder and the decline of international organizations are the likely result. Liberal institutionalists argue that IGOs and regimes serve several purposes in addition to promoting the interests of the hegemon. IGOs and regimes reduce transaction and information costs to member states. They also regularize state behavior and promote transparency. Under conditions of complex interdependence, IGOs and regimes become valuable assets to states. They provide tangible benefits to members, who then become willing to share the cost of maintaining IGOs and regimes "after hegemony." This idea has been expressed in a game theoretic context using the concept of a *k* group. A *k* group consists of actors that would still benefit by providing for a public good (in this case, an IGO or regime) even if they have to bear the costs solely. A cost-benefit analysis of the payoffs between having an international organization or not having one suggests that the great, but non-hegemonic powers would find it rational and in their self-interest to maintain existing IGOs and regimes (Gowa 1988, 316).

Liberal institutionalists and realists both use game theory to explain the behavior of states, though institutionalists are more encouraging about the ability of international organizations to temper the ill effects of anarchy and the suboptimal outcomes it can yield for egoistic actors. By linking cooperation in one regime to cooperation in another, states become accustomed to using IGOs and regimes to achieve their goals and settle their disputes. This, coupled with the effects of complex interdependence, prompts states to abandon power-maximizing behavior and immediate self-interest for long-term stability.

The key to understanding the optimism of institutionalism and functionalism lies in their liberal identity. The international organizations we have discussed are liberal in nature. The world order the U.S. sought to institutionalize after World War II was based on economic and political liberalism. For many liberals, the key to U.S. hegemony is not so much economic or military as much as it is ideological. The U.S. possesses "soft" power, or the power of ideas (Nye 1990). The U.S. has been able to convince the world of the value of free trade and markets. The U.S. has promoted the ideas of democratic and limited government. Antonio Gramsci (discussed in Chapter 4) identifies "ideas" as central to understanding hegemony. Hegemony is not simply based on material capabilities to coerce others. Hegemony is based on powerful and compelling ideas. Liberal ideas have become so pervasive internationally that they are widely accepted as economic and political "truths." Even though the U.S. has declined materially, the liberal world order it created will continue because it is based on time-tested and accepted ideas.

Institutionalists and functionalists both see IGOs and regimes as becoming something more than just the sum of their member states. Both see IGOs as important and influential actors in their own right, although they differ as to the degree of influence. Institutionalists do not see IGOs as displacing the nation-state. IGOs enable states to reach mutually beneficial outcomes in international relations (Schweller and Priess 1997, 3). States may be willing to cede some sovereignty to

international organization in some areas, such as trade, in exchange for the benefits provided by an autonomous organization. However, the state remains an important actor in international relations and still jealously guards most of its sovereign prerogatives.

In sum, the creation and nature of IGOs and regimes are explained by liberals in two ways. Institutionalists argue that hegemonic power is necessary for the creation of international organizations, but hegemony is not required for their continued maintenance. IGOs and regimes are collective goods that help promote the common interests and development of shared values. As a result, they are valuable to states and will be continued absent a hegemon. Hegemony is not required for functionalists. Issues and their complexity determine the need and creation of IGOs. Like-minded individuals and governments create organizations to manage complex problems.

MNCs are important international organizations for liberals because they see the private sphere as the locus of economic, social, and political innovation. MNCs are private, economic entities that are spawned by an expanding and increasingly efficient market. MNCs achieve global economies of scale whereby MNCs have control over, or access to, labor, production facilities, sales, and markets. For many liberals, MNCs are benign in nature. They are motivated by the profit motive, as are all individuals and firms participating in the market. The self-interest of shareholders drives MNCs toward greater and greater efficiencies and their activities propel international society to progressively higher levels of development. MNCs are the innovators of new technology and industrial organization. They create jobs and promote efficiency. More importantly, they bring high-quality goods and services to the world's consumers at a price they are willing to pay. MNCs are global citizens that respond to and serve the needs of an expanding market.

LIBERALISM AND THE ROLE OF INTERNATIONAL ORGANIZATIONS

Liberalism is more optimistic than realism about the contributions and independence of international organizations in international relations. Five interrelated roles can be discerned from the liberal approach. First, international organizations help states overcome collective action problems. Recall the Prisoners' Dilemma. Had the prisoners acted together (collectively) and kept silent, both would have achieved the optimal outcome, a light sentence. Yet, the uncertainty about what the other was going to do, plus uncertainty about what evidence the police had, provided incentives for both prisoners to cheat. The result was a suboptimal outcome for both players. Liberals, particularly institutionalists, argue that international organizations can change the rules of the game. With respect to the Prisoners' Dilemma, international organizations can function as figurative lawyers who advise their client(s). After all, the interests of the prisoners are not fundamentally opposed, especially in light of the consequences if both should confess. The prisoners could overcome their collective action problem if they had a lawyer or some kind of mediator/arbitrator.

Realists use the Prisoners' Dilemma to explain the security dilemma faced by states in an anarchical environment. The consequences associated with cooperation and defection are so dire for states because, in reality, security is no game. It means life or death for a great many people. Rational states really have no choice but to unilaterally pursue their own security interests, even if it means suboptimal outcomes for all states. Liberals point out that theory and practice can be quite different from each other. The pursuit of power and immediate self-interest have led to war, not to stability, as realists suggest. States that do not have significant military capability, like Sweden, Switzerland, Costa Rica, and Zimbabwe, have maintained their territorial integrity and avoided war. Alliances have worked to deter attacks on member states by credibly demonstrating that an attack on one member is an attack on all the members. For example, NATO is credited by institutionalists for preserving the peace in Europe during and after the Cold War (Duffield 1992, 1994a, b). NATO was instrumental in building confidence and trust among traditional enemies, arguably making it one of the most successful alliances in history. NATO also serves as the anchor for the EU, and its membership was urgently sought by Central European states such as Poland, Hungary, and the Czech Republic (and finally granted in 1999). For liberal institutionalists, NATO is the exemplar, the quintessential example of how egoistic states can overcome the most difficult of collective action problems—security. If each member state were seeking to obtain this goal unilaterally, it would bear enormous costs; moreover, such unilateral strategies would likely lead to suboptimal outcomes. By cooperating, each member state saves on cost and avoids the worst possible outcome, war.

States in successful alliances tend to have significant strategic, economic, and social ties. These ties inextricably bind the member states together to the extent that the security of one state is part and parcel of the security of other members of the alliance. The interdependence of an alliance builds over time, and its cohesion is closely associated with the deepening of economic integration. Alliance cohesion is as critical to the credibility of the deterrent as military capability. Alliances may possess significant military capabilities; however, if doubt exists that they will actually use those capabilities to defend an ally, then the utility of the deterrent is in question. Alliances with states that are tangibly intertwined, as are members of NATO, are more cohesive and therefore more credible.

Collective security organizations, like the UN Security Council, are similar to alliances in that an attack on one member is considered an attack on all. They differ in that collective security agreements entail universal membership and usually there is no presumptive aggressor (Goodby and O'Connor 1993). These variables considerably expand the number of possible outcomes and require states to look beyond their immediate self-interest. States must be willing to intervene in situations where they have no compelling strategic, military, or economic interests. Otherwise, collective security organizations run the risk of being just a cleverly disguised great-power concert.

Collective security organizations are considered less useful than alliances at maintaining peace. Membership in a collective security organization is diverse, or heterogeneous. Democracies, dictatorships, market, and command economies exist side by side, making it difficult to develop cohesion. Potential aggressors must be

deterred by a credible threat of retaliation by the international community. It is one thing for the international community to respond to aggression in the Middle East where oil is involved. It is quite another to respond to aggression in Sub-Saharan Africa where most members of the international community have little interest. Furthermore, in order for collective security to be successful, the permanent members of the Security Council and their close allies must not resort to unilateral uses of force. Liberals argue that, in spite of the obstacles to collective security, the post-Cold War era has witnessed dramatic steps toward a viable international collective security arrangement. They also point out that a great deal of cooperation fostered by international organizations has existed within the security realm, an area in which realists predict little or no cooperation outside of balance-of-power considerations.

Collective action problems exist in other issue areas ranging from the economy to the environment. The most difficult is the "free rider" problem. A free rider is an actor that benefits from the provision of a public good without contributing anything to providing that good. Public goods are "goods or services that, once provided, generate benefits that can be enjoyed by all simultaneously" (Balaam and Veseth 1996, 458). For example, liberals consider free trade a public good that is provided by the hegemon. The hegemon bears the costs of creating and maintaining the free trading system. In this case, a free rider is a state that benefits from the open markets of other states while at the same time keeping its markets closed to foreign competition. The hegemon usually carries a free rider because the gains associated with the free trading system outweigh the costs of the free rider. However, the balance of that equation shifts as the hegemon's capabilities decline. International organizations can help counter the free rider problem absent the hegemon by identifying unacceptable barriers to trade and providing a neutral forum for settling trade disputes. International organizations can, in a neutral manner, decide when it is permissible to discriminate against foreign goods. Under hegemony, a free rider gets away with free riding because a hegemon is willing to bear the costs. After hegemony, the free rider's position is increasingly untenable and international organizations provide a mechanism for discouraging such behavior.

A second role of international organizations is to promote economic prosperity and global welfare. Ideologically speaking, liberals argue that the world's goods, services, and resources should be distributed by the market. Liberals argue that the market yields the most efficient use of natural resources and the most efficient production of goods and services. Private ownership and private property rights are also important because private citizens and firms are more directly influenced by and can more easily adjust to market changes. Private citizens and firms are also more innovative and dynamic. Through the development of a global market based on comparative advantage, the welfare of the world can be maximized by improving the lot of individuals regardless of their nationality. International economic institutions, like the IMF and the WTO, exist to promote these goals.

International economic institutions have pursued several strategies in order to promote economic prosperity and global welfare. They have sought to reduce barriers to trade through multilateral negotiations. They have sought to eliminate protectionist measures by states, thereby forcing industries either to become efficient or lose out as casualties of the market. They have encouraged states to privatize

industries and reduce their regulation of the market. They have development programs that encourage direct foreign investment by multinational corporations. They have provided funding for the creation of export industries that promote economic growth and development. They even help states adjust their economies to the new, global market realities. When international organizations promote global markets, trade, and investment, they are also promoting complex interdependence. Complex interdependence reduces the likelihood of war because the utility of military force in achieving national goals or settling disputes is greatly reduced.

A third role of international organizations is to help societies develop shared values and norms. Interdependence may reduce the chances of violent conflict; however, the problems associated with interdependence cannot be managed or solved unless societies have some common ground. International organizations foster certain values and help to establish certain norms that are conducive to the peaceful settlement of disputes, such as compromise, reciprocity, multilateralism, and the rule of law. International organizations promote democracy and democratic institutions. They promote and protect individual human rights. They promote values associated with a liberal international economic order based on neoclassical economic principles, such as private property rights and limited state involvement. But these values and norms are not universal, nor are they self-evident within or between societies, contrary to the writings of liberal writers. Some societies put the needs of the community over the needs of the individual. Some see the separation of church and state as a bad idea. For others, the state should eliminate private property or at least be responsible for caring for citizens "from cradle to grave," even if it means public ownership of industries or expensive welfare budgets.

For liberals, values and norms must compete in the "free marketplace of ideas" and evolve over time. Liberal values and norms have withstood the test of time, generating unprecedented levels of prosperity and individual freedom. Contemporary international organizations are agents of socialization for a political and economic order through which everyone can benefit. This liberal view contrasts slightly with the realist notion of international organizations of agents of socialization for an international order whereby one state or a group of states dominates lesser states in the international system.

A fourth role of international organizations is integrative and is performed principally by MNCs. MNCs are seen as a figurative needle and thread that binds societies together through the formation of a common global market. The activities of MNCs benefit societies because they bring jobs, industries, managerial skills, and technologies to societies. They are private economic organizations that transcend national boundaries and are responsible only to international stockholders. MNCs are a strong force for economic liberalism in the global economy (Goldstein 1996, 376). They command significant resources and have the ability to influence governments and IGOs. MNCs are interested in limited government involvement and the right to freely move capital to areas where it can be utilized more efficiently. MNCs are committed to capital mobility, and wherever they go they bring liberal ideology with them.

A fifth role performed by international organizations in the liberal world is to provide assistance to the "victims of international politics." These victims include

the abject poor, refugees, and those who have experienced environmental disaster, medical epidemics, and war. Liberals see these kinds of crises as being manmade. Choices are made by governments that have important consequences for its citizens. While environmental and medical emergencies may be influenced by nature, the policies and the reactions of governments play a decisive and often aggravating role. International organizations (IGOs and NGOs) seek to provide immediate relief to the victims of such "politics" and to find durable solutions.

In sum, international organizations are prominent features in the liberal landscape. International organizations help states overcome collective action problems and help promote economic prosperity and global welfare. In addition, international organizations foster shared norms and values among societies and further economic interdependence. Lastly, international organizations aid the victims of international politics. Rather than being marginal actors, international organizations are at the forefront of international governance.

LIBERALISM AND ITS CRITICS

The liberal theoretical approach to international relations and international organizations is widely criticized as ethnocentric (Votri and Kauppi 1993; Strange 1983). The liberal worldview is widely held by American and British scholars. Their arguments that the contemporary liberal order is beneficial to all is influenced by their own bias that their societal organization is superior to other kinds of organization. This bias is perpetuated in that international relations as a discipline is dominated by English-speakers from Canada, Great Britain, Australia, and the United States. The normative bias in liberal arguments is evident—democracy is a "better" form of government and capitalism is a "better" mode of production.

Ethnocentrism compromises the ability of liberal scholars to adequately assess and criticize the liberal order that they are describing. Take for example the idea that free trade is a public good. It is a mighty bold statement to say that free trade benefits all. Liberals claim that consumers benefit because free trade widens the range of consumer choice. However, consumer choice means very little if the consumer's job has been lost because foreign competition has driven the domestic employer out of business. Liberals also tend to focus on absolute rather than relative gains. In other words, they fail to ask whether societies are better off (in terms of prices and consumer choice) than they were before. Liberals do not consider relative gains, nor do they recognize that "development" is itself an ethnocentric concept. Why do liberals unconsciously assume that other societies want to be like the U.S. and the Western democracies?

A second criticism of the liberal approach is that "blame" for underdevelopment and poverty is placed squarely on the individual, firm, or government. Individuals are poor because they did not make the right choices in order to effectively participate in the market. They did not seek the right education or occupation that would provide them with an acceptable standard of living. Similarly, if societies are poor, it is because governments were corrupt or pursued irrational state policies that contributed to economic problems. Irrational state policies include subsidizing